

Emotional Approach to wealth creation



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I have often seen people go to dieticians for weight loss, only to return to their starting weight after shedding a few kilos or hitting their target. Is maintaining a healthy lifestyle so difficult? Absolutely not. All you have to do is eat right, sleep well and exercise regularly. Easier said than done isn't it?

The same principles apply to investing. It is an open secret that building wealth is not about quick fixes but about maintaining discipline and consistency. Just as a healthy lifestyle depends on sustained good habits, long-term wealth creation comes from systematic investments and staying the course with equity investments. With all the volatilities we have seen in the past many years, the equity market in India has still generated returns that have comfortably

given positive inflation-beating returns and created wealth over the long run.

Yet, time and again, with every market volatility we get restless, we feel this is not the same as before. We keep watching our mutual fund portfolios and stock prices on a daily basis, at times several times a day and feel miserable as to why we invested since everything looks red. The fact is, the highest possibility of return is often hidden behind the veil of market uncertainty. To me the most uncertain time was Covid when, forget the markets, we were not even sure if we would even live to see another day. We and companies have evolved from all situations and still generated strong returns over time. So the answer is we will come out successful this time too. It's only patience and cutting the noise which is crucial.

Most times when I meet equity investors they talk long-term, think medium term and act short term. We might need the funds only after five years but we compare our returns in five months. If the horizon is a few weeks or months, then let's not fool ourselves by thinking we are investors. Then we are only speculators and once we are clear on this definition of ourselves in our head, we at least know what consequences we could face. Investing as per your goals and asset allocation has never gone wrong. In today's scenario with geopolitical situations changing every few hours, no one actually knows what will happen in the near future. But one thing is for sure: Companies will continue to exist, good fund managers will keep looking for opportunities, people will continue to work and get employed. So focus on the process and results will follow.

I've been in this industry for over 20 years, and if there's one thing I've consistently observed, it's that most investment decisions aren't driven by logic. They're driven by emotions like fear, greed, FOMO, bias, and peer pressure. The issue is that something as important as managing your money which should be a completely rational exercise often ends up being anything but that. Most people spend more time planning their next vacation than planning their financial future. One of the biggest temptations for investors is trying to time the market. Ironically, when markets correct and valuations become attractive, fear often takes over and we hesitate to invest. Conversely, when markets are at all-time highs, investor confidence tends to peak. During market rallies, few questions are asked. But when there's a downturn, even a short-term one, there is a sudden wave of concern over why a portfolio, built with a five to seven-year horizon, is showing negative returns over the last few months. This often results in premature redemption of investments and halting of SIPs. While it's natural to feel uncertain during volatile periods, reacting impulsively to short-term fluctuations can seriously hinder long-term financial progress.

So what's crucial for wealth creation is not having a great acumen or trying to time the market. Instead one needs to focus on the goals, have patience in volatile times and work relentlessly towards it. Whether the goal is wealth creation, fitness or spiritual upliftment what truly matters is having a set regime, a regular process and an unbiased approach. In such cases the results are generally never short of a miracle.